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Dr. Lukas Neville under supervision of Judith Jayasuriya has written this case solely for the Asper Business Case Competition (ABCC) 2026. This case is presented with the support of the Stu Clark Graduate School. The author has no intention to comment on or evaluate the handling of managerial decisions within Coal & Canary. Photocopying transmitting, distributing or reproduction this case in any form or by any means is strictly prohibited.

Coal & Canary: Shifting from Premium to High-End Luxury

Case Briefing

You are asked to advise Coal & Canary, a Winnipeg-based candle and home fragrance brand, as it explores an expansion from its current premium accessible positioning into the high-end luxury home fragrance market.



Unlike many growth cases, this challenge is not about building a full business plan or launching a completely new line. Instead, the company is seeking one strong, transferable idea from luxury retailing or marketing that could shape how it approaches luxury, even on a small scale.

Coal & Canary's leadership wants to understand:

- What does luxury look like when you are not a global conglomerate?
- What types of luxury practices or strategies actually translate to a small, design-driven brand like ours?

Your task is to bring one idea, explain why it works in its original luxury context, and then show how it could be realistically adapted for Coal & Canary's size, resources, and values.

About Coal & Canary

Coal & Canary was founded in 2014 by Amanda Buhse and grew from a kitchen-table operation into a recognized Canadian candle brand with a strong following and a distinct point of view. Over the past decade, the company has built a reputation for design-forward products, community-driven storytelling, and accessible premium pricing.

The brand is known not just for its scents, but for its tone: playful, culturally aware, inclusive, and human. Coal & Canary does not aim to appeal to everyone. It has intentionally cultivated a loyal audience that values personality, humor, craftsmanship, and aesthetics.

Today, Coal & Canary:

- Primarily sells 8-ounce premium candles (~$40 CAD), alongside smaller gift sets
- Also offers reed diffusers and room sprays
- Wholesales through hundreds of independent boutiques, primarily across Canada
- Operates both direct-to-consumer e-commerce and a brick-and-mortar store at The Forks in Winnipeg
- Maintains a strong digital and social presence, with high engagement and repeat buyers

Coal & Canary positions itself as premium but accessible. Its products are designed to be frequently purchased, giftable, and emotionally resonant, rather than rarefied or intimidating.

Coal and Canary's Brand Identity

Coal & Canary today is a strongly established, design-driven Canadian home-fragrance brand known for its playful personality, emotional warmth, inclusivity, and community-first ethos.

The brand connects with customers before products, building relationships through humor, pop-culture fluency, and a "leave people lighter" philosophy that emphasizes care, authenticity, and human connection. Their brand identity is bright, femme-forward, queer-friendly, and intentionally welcoming, with a proudly aesthetic-driven visual world and a commitment to hand-poured quality, wooden-wick craftsmanship, and meticulous design touches that express a designer's eye at every step of the experience.

Coal & Canary now wholesales to more than 500 boutiques (95% in Canada; 5% in the U.S.), operates its own retail location at The Forks in Winnipeg, maintains a lively and loyal digital community, and engages in biannual trade shows across Canada. Together, these channels have contributed to a strong, culturally resonant presence in the accessible-premium candle category.

The Question of Luxury

In recent years, the leadership team has begun to ask whether Coal & Canary can credibly play a role in the luxury home fragrance market. Luxury candles and home fragrance differ from Coal & Canary's existing line in several important ways:

- **A premium price for a special purchase**: Luxury candles are often purchased less frequently, but at significantly higher price points.
- **Symbolism and status**: They function as décor, collectibles, or identity signifiers as much as functional products.
- **A unique experience**: Luxury home fragrance often emphasizes ritual, discovery, exclusivity, controlled distribution, and storytelling.
- **Higher expectations**: Customers expect a sense of intention, from scent development to vessels, packaging, and presentation.

Coal & Canary has already begun thoughtful, small-scale movement toward the luxury home-fragrance and lifestyle space, exploring product concepts and brand extensions that signal elevated craftsmanship while staying true to its playful and community-oriented identity.

The company is developing a 13-ounce, visually striking “Holographic Aura” candle priced at $75, as well as experimenting with limited-edition collectible vessels and one-of-a-kind artisan-made ceramic pieces—each designed to incorporate luxury codes such as ritual, exclusivity, and artistic presentation without abandoning the brand’s warmth and humor.

Alongside this, Coal & Canary is investigating a broader lifestyle extension under the name Coal & Canary Home, which would include curated home-decor and lifestyle goods that expand the brand’s aesthetic and emotional footprint beyond fragrance alone.pdf). These explorations remain in early conceptual stages, giving teams room to shape how luxury principles (like scarcity, storytelling, personalization, and experiential discovery) can be adapted into a small, design-forward Canadian brand without losing what makes Coal & Canary beloved.

However, many key decisions remain intentionally open. This includes how “luxury” should be expressed in a way that is authentic to Coal & Canary, rather than imitative of much larger brands.

The Competitive Landscape

It will be important for teams to consider Coal & Canary’s competitive landscape. There are a range of other players in the small-batch, Canadian-made home fragrance market, including LOHN, MilkJar, Mala, Market Candle Company, The Scented Market, Noel and Co, and Canvas Candle Co. And competition is also aggressive in the luxury home fragrance market. In addition to regional boutique brands, there are a number of key players in the North American luxury home fragrance, including Diptyque, Jo Malone, Nest, Homesick, and Volupsa.

While both segments have higher prices than mass market retailers like Bath and Body Works, the luxury brands have the advantage of being able to set higher price points, serving a more discerning segment of customers with a high willingness to pay – but also a demand for an exceptional product

and brand experience. Brands like Diptyque and Jo Malone have (per ounce) retail prices for its candles that can be 50-70% higher than other premium small-batch candle brands.

Constraints That Matter

This opportunity must be considered within the real constraints, scope, and scale of the business. Coal & Canary is a small, lean organization with a hands-on founder and limited internal capacity.

Founder Amanda and her husband Jeff manage the company with limited staffing. They are directly involved in the day-to-day operations: Amanda, for instance, personally attends trade fairs and craft shows. And as another example, Jeff handles nearly all of the operations hands-on. They have a small team of retail staff for their Forks store, but it's important for you to recognize that your ideas have to be scaled to the point where they are doable by Coal and Canary's team. While their products are found in hundreds of independent boutiques, these are not owned or controlled by Coal and Canary, and you have limited control over the context in which their products are sold by the retailers who buy wholesale from them.

The brand relies more on taste, design, and storytelling than on heavy capital investment. It's based in Canada, with a single Winnipeg retail location and some digital reach through its website and its social accounts (50k on Instagram, 6k on TikTok, 9k on Facebook). Finally, the company is, due to its scale, accustomed to seasonal launches and drops, rather than year-round global activations.

Any proposed idea should assume:

- A modest launch budget consistent with small business (not luxury mega-brands). A typical seasonal launch budget for a business of this scale might reach $30,000, which is a substantial investment for a small firm, but a small budget for luxury retail. You will need to think creatively about how to create a high-end image and experience without high-end budgets.
- Selective outsourcing or partnerships, rather than hiring or large permanent teams
- A need to protect (and not dilute) the existing brand's personality and community
- An emphasis on testing, piloting, or signaling luxury, rather than fully transforming the

company overnight

This is not an exercise in imagining what Coal & Canary might do if it were ten times larger.

The Challenge

Coal & Canary is asking you to bring one insight from luxury retailing or marketing, drawn from any sector. This could include fashion, hospitality, automotive, technology, beauty/skincare, art, design, or home furnishings. Remember that the founders are familiar with home fragrance, so your insight will have greater impact if it draws from a context outside of the firm's immediate competitive context.

Your insight should not be a vague trend or a list of tactics. It should be a clear idea or mechanism. It should explain how luxury brands create meaning, desire, or loyalty.

Examples might include the following. While these are illustrative only, you can see that these aren't just about copy-catting a tactic but understanding the logic of luxury retailing. You should think broadly, and consider how you will add unique value and insight that other teams might not provide:

- How luxury brands use scarcity or controlled access
- How ritual or discovery is built into the purchasing experience
- How personalization is used to signal care rather than scale
- How communities or memberships create a sense of elite belonging

What You Are Asked to Do

Your recommendation should identify one specific luxury idea or strategy from another context. You should explain the idea clearly and succinctly:

- Where does it come from?
- Why does it work in that luxury context?

- What problem does it solve for luxury brands?

Then, you must adapt the idea to Coal & Canary. Show how this idea could be translated into Coal & Canary's world, covering in particular:

- What would it look like at a smaller scale?
- What would need to change from the original luxury context?
- What should Coal & Canary deliberately not do?

The most important element is that you demonstrate realistic implementation thinking. To the extent that it is realistic in a short preparation time, we encourage you to be clear about:

- The first concrete steps or pilot
- The internal or external resources required
- The primary risks or tradeoffs involved
- What it would achieve, and how you would be able to tell if it is working as you roll out early first steps.

Your focus should be on judgment, fit, and credibility, not coverage. Coal & Canary is less interested in how many ideas you can generate than in how well you can think about one and show how it can be adapted to their context.

What You Aren't Asked to Do

You are being asked for one transferable luxury insight – not a whole business plan. You have limited time, so we don't expect you to bring a full new product line with distribution strategy, brand architecture, a pricing ladder, a plan for retail expansion, etc. Your focus should be taking this single idea or insight and showing how it can fit into Coal and Canary's strategy and market position.

We also remind you that Coal and Canary doesn't want to become Diptyque or Jo Malone. The firm is small, personality-driven, and design-focused. Your ideas need to be about adapting luxury

insights to Coal and Canary, not transforming Coal and Canary into a wildly different overall brand. Remember, Coal and Canary is not prepared to abandon its existing product lines, retail network, or loyal customer base.

Lastly, we caution you that luxury doesn't just mean thicker packaging, inflated price tags, or more gold accents. When you think about luxury retail, we expect that you go beyond the surface aesthetics of luxury to focus on why luxury brands appeal to consumers, which is about ritual, scarcity, belonging, community, and symbolism. For example, yes, luxury brands often do have limited edition products, but you can't just slap an edition number on any product and expect it to fly off the shelves. You must understand the consumer psychology of why it works for luxury brands, or how and when scarcity drives purchasing.

Deliverables & Format

Within your preparation period you will create a one-page brief (word document) and a slide deck (including title slide, single summary slide and hyperlinked appendices). A printed black and white copy of your one-page brief will be provided to the judges to read in advance of the discussion.

When you enter the room, you will sit yourself at the boardroom table. You will have three minutes to pitch your idea to the judges using your single summary slide. Following this, you can use any slide in your deck to support your position. Most of your evaluation will occur in a boardroom-style discussion with judges, where you will be asked to defend your assumptions, explain how your idea would scale (or not), and clarify what success would look like in an early test.

Because your materials are likely to be shared in conversation rather than in a scripted, linear presentation, we encourage you to create a table of contents slide in your deck, with all your materials and slides linked, so that you can easily click and navigate to as you discuss.

There is no single "right" answer. Coal & Canary is looking for tasteful, grounded thinking that respects both the logic of luxury and the reality of a small, design-driven business.

Appendix A: How swag bags added big Hollywood glamour to this ecommerce business

https://www.canadapost-postescanada.ca/blogs/business/ecommerce/how-swag-bags-added-big-hollywood-glamour-to-this-ecommerce-business/

